Chapter 08: Regional Trading Arrangements

1. The European Union is primarily intended to permit
   a. countries to adopt scientific tariffs on imports.
   b. an agricultural commodity cartel within the group.
   c. the adoption of export tariffs for revenue purposes.
   d. free movement of resources and products among member nations.

ANSWER: d
FEEDBACK:
a.
b.
c.
d. The European Union is a common market. A common market is a group of trading nations that permits the free movement of factors of production across national borders within the economic bloc.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Types of Regional Trading Arrangements
KEYWORDS: BLOOM'S: Remember

2. Which of the following represents the stage where economic integration is most complete?
   a. economic union
   b. customs union
   c. monetary union
   d. common market

ANSWER: c
FEEDBACK:
a.
b.
c. The ultimate degree of economic union would be the unification of national monetary policies and the acceptance of a common currency administered by a supranational monetary authority. The economic union would thus include the dimension of a monetary union.
d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Types of Regional Trading Arrangements
KEYWORDS: BLOOM'S: Remember

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3. Which of the following represents the stage where economic integration is least complete?

a. free trade area
b. monetary union
c. common market
d. customs union

ANSWER: a

FEEDBACK:

a. A free-trade area is an association of trading nations in which members agree to remove all tariff and nontariff barriers among themselves. Each member maintains its own set of trade restrictions against outsiders. It represents the stage where economic integration is least complete.
b.
c.
d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Types of Regional Trading Arrangements
KEYWORDS: BLOOM'S: Remember

4. Customs union theory reasons that the formation of a customs union will decrease members' real welfare when the

a. trade diversion effect exceeds the trade creation effect.
b. trade production effect exceeds the trade consumption effect.
c. trade consumption effect exceeds the trade production effect.
d. trade creation effect exceeds the trade diversion effect.

ANSWER: a

FEEDBACK:

a. The movement toward freer trade under a customs union affects world welfare in two opposing ways: a welfare-increasing trade-creation effect and a welfare-decreasing traded-diversion effect. Its trade diversion effect generally implies a welfare loss. Trade diversion occurs when imports from a low-cost supplier outside the union are replaced by purchases from a high-cost supplier within the union.
b.
c.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Effects of a Regional Trading Arrangement
KEYWORDS: BLOOM'S: Understand

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5. Which economic integration scheme is solely intended to abolish trade restrictions among member countries, while setting up common tariffs against non-members?

a. economic union
b. common market
c. free trade area
d. customs union

ANSWER: d

FEEDBACK:

a.
b.
c.
d. A customs union is an agreement among two or more trading partners to remove all tariff and nontariff trade barriers between themselves. In addition, each member nation imposes identical trade restrictions against nonparticipants.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Types of Regional Trading Arrangements
KEYWORDS: BLOOM'S: Remember

6. By 1992 the European Union had become a full-fledged

a. economic union.
b. monetary union.
c. common market.
d. fiscal union.

ANSWER: c

FEEDBACK:

a.
b.
c. The European Union (EU) achieved the status of a common market in 1992.
d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Types of Regional Trading Arrangements
KEYWORDS: BLOOM'S: Remember

7. Which device has the European Union used to equalize farm-product import prices with politically determined European Union prices, regardless of shifts in world prices?

a. variable levies

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b. import quotas
c. import subsidies
d. domestic content regulations

ANSWER: a

FEEDBACK:
a. A common agricultural policy has supported EU farm prices through a system of variable levies that applies tariffs to agricultural imports entering the European Union.
b.
c.
d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The European Union
KEYWORDS: BLOOM'S: Remember

8. Which trade instrument has the European Union used to insulate its producers and consumers of agricultural goods from the impact of changing demand and supply conditions in the rest of the world?

a. domestic content regulations
b. variable import levies
c. voluntary export quotas
d. orderly marketing agreements

ANSWER: b

FEEDBACK:
a.
b. The European Union's common agricultural policy has used variable levies to protect EU farmers from low-cost foreign competition. During periods of falling world prices, the sliding scale nature of the variable levy results in automatic increases in the European Union's import tariff.
c.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The European Union
KEYWORDS: BLOOM'S: Remember

9. Assume that the formation of a customs union turns out to include the lowest-cost world producer of the product in question. Which effect could NOT occur for the participating countries?

a. trade creation-production effect

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b. trade creation-consumption effect
c. trade diversion
d. scale economies and competition

ANSWER: c

FEEDBACK:
a.
b.
c. Trade diversion occurs when imports from a low-cost supplier outside the union are replaced by purchases from a high-cost supplier within the union.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Effects of a Regional Trading Arrangement
KEYWORDS: BLOOM'S: Understand

10. Which organization of nations permits free trade among its members in industrial goods, while each member maintains freedom in its trade policies toward non-member countries?
a. European Union
b. Benelux Union
c. North Atlantic Treaty Organization
d. U.S.–Mexico–Canada Agreement

ANSWER: d

FEEDBACK:
a.
b.
c.
d. A free-trade area is an association of trading nations in which members agree to remove all tariff and nontariff barriers among themselves. Each member maintains its own set of trade restrictions against outsiders. It represents the stage where economic integration is least complete. The U.S.–Mexico–Canada Agreement is a free-trade agreement.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Types of Regional Trading Arrangements
KEYWORDS: BLOOM'S: Remember

11. Which of the following organizations is considered a customs union?
a. Organization of Petroleum Exporting Countries
b. North Atlantic Treaty Organization

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c. Benelux Union

d. International Tin Agreement

ANSWER: c

FEEDBACK:

a.

b.

c. Benelux (Belgium, the Netherlands, and Luxembourg) is a customs union which was formed in 1948.

d.

POINTS: 1

DIFFICULTY: Moderate

QUESTION TYPE: Multiple Choice

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking

STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: Types of Regional Trading Arrangements

KEYWORDS: BLOOM'S: Remember

12. When products from high-cost suppliers within a customs union replace imports from a low-cost nation that is NOT a member of the customs union, there exist(s)

a. dynamic welfare losses.

b. dynamic welfare gains.

c. trade creation.

d. trade diversion.

ANSWER: d

FEEDBACK:

a.

b.

c.

d. Although a customs union may add to world welfare by way of trade creation, its trade diversion effect generally implies a welfare loss. Trade diversion occurs when imports from a low-cost supplier outside the union are replaced by purchases from a high-cost supplier within the union.

POINTS: 1

DIFFICULTY: Moderate

QUESTION TYPE: Multiple Choice

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking

STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: Effects of a Regional Trading Arrangement

KEYWORDS: BLOOM'S: Understand

13. Which form of economic integration occurs when participating countries abolish tariffs on trade among themselves, establish a common tariff on imports from non-members, and permit free movement of capital and labor within the organization?

a. free trade area

b. economic union

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c. common market
d. monetary union

ANSWER: c

FEEDBACK:
a.
b.
c. A common market is a group of trading nations that permits (1) the free movement of goods and services among member nations, (2) the initiation of common external trade restrictions against non-members, and (3) the free movement of factors of production across national borders within the economic bloc.
d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Types of Regional Trading Arrangements
KEYWORDS: BLOOM'S: Remember

14. A static welfare effect resulting from the formation of the European Union would be
a. economies of scale.
b. trade diversion.
c. investment incentives.
d. increased competition.

ANSWER: b

FEEDBACK:
a.
b. A static welfare effect resulting from the formation of the European Union would be trade diversion.
c.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Effects of a Regional Trading Arrangement
KEYWORDS: BLOOM'S: Understand

15. A dynamic welfare gain resulting from the formation of the European Union would be
a. trade diversion.
b. trade creation.
c. diseconomies of scale.
d. economies of scale.

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ANSWER: d

FEEDBACK:

a.

b.

c.

d. A dynamic welfare gain resulting from the formation of the European Union would be economies of scale.

POINTS: 1

DIFFICULTY: Easy

QUESTION TYPE: Multiple Choice

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking

STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: Effects of a Regional Trading Arrangement

KEYWORDS: BLOOM'S: Remember

16. Which organization was founded in 1957 whose objective was to create an economic union among its members?

a. General Agreements on Tariffs and Trade

b. Organization of Economic Cooperation and Development

c. European Union

d. Latin American Free Trade Association

ANSWER: c

FEEDBACK:

a.

b.

c. The European Union was originally founded in 1957 by the Treaty of Rome. Its objective was to create an economic union among its members.

d.

POINTS: 1

DIFFICULTY: Easy

QUESTION TYPE: Multiple Choice

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking

STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: The European Union

KEYWORDS: BLOOM'S: Remember

17. The common agriculture policy of the European Union has supported European farmers via

a. export tariffs and domestic content regulations.

b. variable levies and voluntary export agreements.

c. content regulations and export subsidies.

d. export subsidies and variable levies.

ANSWER: d

FEEDBACK:

a.

b.

c.

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d. A common agricultural policy has supported EU farm prices through a system of variable levies and voluntary export agreements. Large government subsidies support European farmers.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The European Union
KEYWORDS: BLOOM'S: Remember

18. Which nation is NOT a member of the North American Free Trade Agreement?
a. Canada
b. Greenland
c. Mexico
d. United States

ANSWER: b
FEEDBACK:
a.
b. The North American Free Trade Agreement was between United States, Mexico, and Canada; this was replaced by the USMCA in 2020.
c.
d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: North American Free Trade Agreement: United States–Mexico–Canada Agreement
KEYWORDS: BLOOM'S: Remember

19. The North American Free Trade Agreement is a
a. monetary union.
b. free trade area.
c. common market.
d. customs union.

ANSWER: b
FEEDBACK:
a.
b. The North American Free Trade Agreement is free trade area between United States, Mexico, and Canada; this was replaced by the USMCA in 2020.
c.
d.

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POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Types of Regional Trading Agreements
KEYWORDS: BLOOM'S: Remember

20. Under the European Union's common agricultural policy, a variable import levy equals the
a. amount by which the EU's support price exceeds the world price.
b. amount by which the world price exceeds the EU's support price.
c. support price of the EU.
d. world price.

ANSWER: a
FEEDBACK:
a. During periods of falling world prices, the sliding scale nature of the variable levy results in automatic increases in the European Union’s import tariff. The levy is determined daily and equals the difference between the lowest price on the world market and the support price.
b.
c.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The European Union
KEYWORDS: BLOOM'S: Remember

21. Members of the European Union find that "trade creation" is fostered when their economies are
a. highly competitive.
b. highly noncompetitive.
c. small in economic importance.
d. geographically distant.

ANSWER: a
FEEDBACK:
a. Empirical evidence suggests that the European Union has realized welfare benefits in trade creation that have outweighed the losses from trade diversion. Members have realized dynamic benefits from integration in the form of additional competition.
b.
c.
d.

POINTS: 1
DIFFICULTY: Moderate

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QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The European Union
KEYWORDS: BLOOM'S: Understand

22. The European Union has achieved all of the following EXCEPT
a. adopted a common fiscal policy for member nations.
b. established a common system of agricultural price supports.
c. disbanded all tariffs among its member countries.
d. levied common tariffs on products imported from non-members.

ANSWER: a
FEEDBACK:
a. The European Union has achieved a monetary union but has not adopted a common fiscal policy for member nations.
b.
c.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Types of Regional Trading Arrangements
KEYWORDS: BLOOM'S: Remember

23. When the United States, Canada, and Mexico form a free trade area, and Mexico begins importing a product from Canada rather than from the lowest-cost world producer
a. trade diversion occurs.
b. trade creation occurs.
c. world welfare rises.
d. world welfare falls to zero.

ANSWER: a
FEEDBACK:
a. Trade diversion occurs when imports from a low-cost supplier outside the union are replaced by purchases from a high-cost supplier within the union.
b.
c.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic

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United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Effects of a Regional Trading Arrangement
KEYWORDS: BLOOM'S: Understand

24. When the formation of a free trade area results in the reduction of trade with non-member nations in favor of member countries, _____ occurs.

a. trade devaluation
b. trade revaluation
c. trade creation
d. trade diversion

ANSWER: d
FEEDBACK:
a.
b.
c.
d. Trade diversion occurs when imports from a low-cost supplier outside the union are replaced by purchases from a high-cost supplier within the union.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Effects of a Regional Trading Arrangement
KEYWORDS: BLOOM'S: Understand

25. Which country is NOT a member of the European Union?

a. Spain
b. Germany
c. France
d. Iceland

ANSWER: d
FEEDBACK:
a.
b.
c.
d. Iceland is not a member of the European Union.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The European Union
KEYWORDS: BLOOM'S: Remember

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26. The common agricultural policy of the European Union has
    a. increased American farm exports to the EU.
    b. decreased American farm exports to the EU.
    c. lowered the price of American farm exports to the EU.
    d. not affected the price of American farm exports to the EU.

ANSWER: b

FEEDBACK:
    a.
    b. The European Union's common agricultural policy has used variable levies to protect EU farmers from low-cost foreign competition. This has decreased American farm exports to the EU.
    c.
    d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The European Union
KEYWORDS: BLOOM'S: Understand

27. The implementation of a common market involves all of the following EXCEPT
    a. elimination of trade restrictions among member countries.
    b. a common tax system and monetary union.
    c. prohibition of restrictions on factor movements.
    d. a common tariff levied on imports from non-members.

ANSWER: b

FEEDBACK:
    a.
    b. A common market is a group of trading nations that permits (1) the free movement of goods and services among member nations, (2) the initiation of common external trade restrictions against non-members, and (3) the free movement of factors of production across national borders within the economic bloc.
    c.
    d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Types of Regional Trading Arrangements
KEYWORDS: BLOOM'S: Understand

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28. Under the common agricultural policy, exports of any surplus quantities of European Union produce are encouraged through the usage of

a. variable levies.

b. export subsidies.

c. import quotas.

d. countertrade.

ANSWER: b

FEEDBACK:

a.

b. The European Union pays its producers export subsidies so they can sell surplus produce abroad at the low price but still receive the higher international support price. By encouraging exports, the government will reduce the domestic supply and eliminate the need for the government to purchase the excess.

c.

d.

POINTS: 1

DIFFICULTY: Moderate

QUESTION TYPE: Multiple Choice

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking

STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: The European Union

KEYWORDS: BLOOM'S: Understand

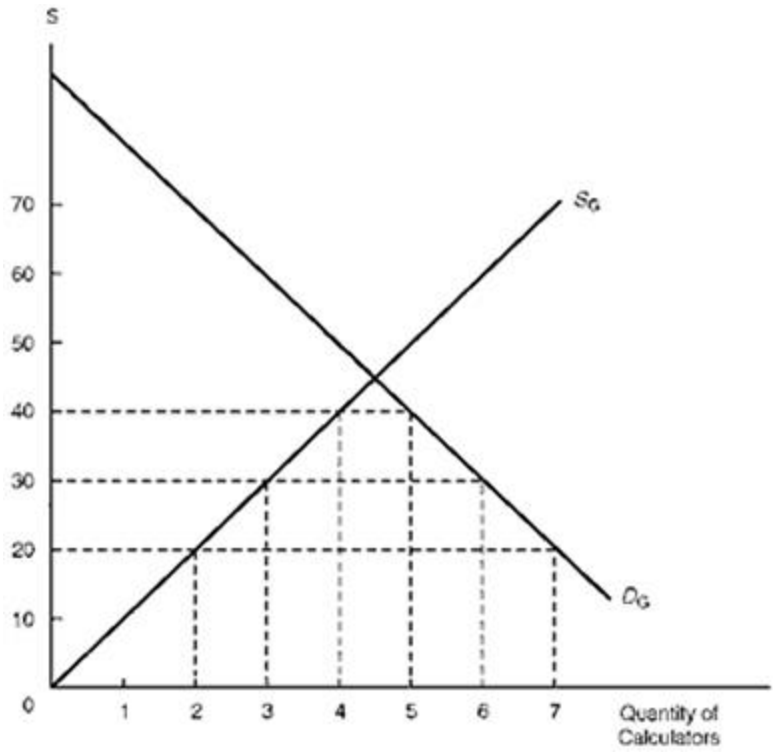
Figure 8.1 depicts the supply and demand schedules of calculators for Greece, a small country that is unable to affect the world price. Greece's supply and demand schedules of calculators are respectively depicted by S_G and D_G. Assume that Greece imports calculators from either Germany or France. Suppose Germany is the world's low-cost producer and can supply calculators to Greece at $20 per unit, while France can supply calculators at $30 per unit.

Figure 8.1. Effects of a Customs Union

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29. Consider Figure 8.1. With free trade, Greece imports
    a. 3 calculators from France.
    b. 5 calculators from France.
    c. 3 calculators from Germany.
    d. 5 calculators from Germany.

ANSWER: d
FEEDBACK:
    a.
    b.
    c.
    d. With free trade, Greece imports 5 calculators from Germany.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 8.1
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Effects of a Regional Trading Arrangement
KEYWORDS: BLOOM'S: Analyze

30. Consider Figure 8.1. Assume Greece levies a per-unit tariff of $20 on imports from both Germany and France. Greece will import
    a. 1 calculator from Germany.
    b. 1 calculator from France.
    c. 3 calculators from Germany.

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d. 3 calculators from France.

ANSWER: a

FEEDBACK:

a. If Greece levies a per-unit tariff of $20 on imports from both Germany and France, Greece will import 1 calculator from Germany.

b.

c.

d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 8.1
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Effects of a Regional Trading Arrangement
KEYWORDS: BLOOM'S: Analyze

31. Consider Figure 8.1. Assume Greece levies a per-unit tariff of $20 on imports from both Germany and France. As a result of the $20 tariff, Greece's consumer surplus falls by

a. $90.
b. $100.
c. $110.
d. $120.

ANSWER: d

FEEDBACK:

a.

b.

c.

d. As a result of the $20 tariff, Greece's consumer surplus falls by $120.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 8.1
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Effects of a Regional Trading Arrangement
KEYWORDS: BLOOM'S: Analyze

32. Consider Figure 8.1. Assume Greece levies a per-unit tariff of $20 on imports from both Germany and France. The deadweight welfare loss to Greece resulting from the $20 tariff equals

a. $20.
b. $40.
c. $60.

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d. $80.

ANSWER: b

FEEDBACK:

a.

b. The deadweight welfare loss to Greece resulting from the $20 tariff equals $40.

c.

d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 8.1
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Effects of a Regional Trading Arrangement
KEYWORDS: BLOOM'S: Analyze

33. Referring to Figure 8.1, suppose Greece forms a customs union with France. Greece will import

a. 3 calculators at a per-unit price of $30.
b. 3 calculators at a per-unit price of $40.
c. 6 calculators at a per-unit price of $30.
d. 6 calculators at a per-unit price of $40.

ANSWER: a

FEEDBACK:

a. If Greece forms a customs union with France, Greece will import 3 calculators at a per-unit price of $30.

b.

c.

d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 8.1
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Effects of a Regional Trading Arrangement
KEYWORDS: BLOOM'S: Analyze

34. Consider Figure 8.1. The value of the trade diversion effect resulting from the Greece/France customs union equals

a. $5.
b. $10.
c. $15.
d. $20.

ANSWER: b

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FEEDBACK:
a.
b. The value of the trade diversion effect resulting from the Greece/France customs union equals $10.
c.
d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 8.1
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Effects of a Regional Trading Arrangement
KEYWORDS: BLOOM'S: Analyze

35. Consider Figure 8.1. The value of the trade creation effect resulting from the Greece/France customs union equals
a. $5.
b. $10.
c. $15.
d. $20.

ANSWER: b
FEEDBACK:
a.
b. The value of the trade creation effect resulting from the Greece/France customs union equals $10.
c.
d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Effects of a Regional Trading Arrangement
KEYWORDS: BLOOM'S: Analyze

36. Consider Figure 8.1. Comparing trade creation and trade diversion effects, the impact of the Greece/France customs union on the welfare of Greece is
a. a $5 increase in economic welfare.
b. a $10 increase in economic welfare.
c. a $5 decrease in economic welfare.
d. no change in economic welfare.

ANSWER: d
FEEDBACK:
a.
b.

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c.

d. Comparing trade creation and trade diversion effects, the impact of the Greece/France customs union on the welfare of Greece is no change in economic welfare.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 8.1
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Effects of a Regional Trading Arrangement
KEYWORDS: BLOOM'S: Analyze

37. Consider Figure 8.1. Suppose Greece had formed a customs union with Germany rather than France. The value of the trade diversion effect would be

a. $0.
b. $5.
c. $10.
d. $15.

ANSWER: a
FEEDBACK:

a. The value of the trade diversion effect would be $0 ($10 -$10).

b.

c.

d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 8.1
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Effects of a Regional Trading Arrangement
KEYWORDS: BLOOM'S: Analyze

38. According to Figure 8.1, the formation of a Greece/Germany customs union would result in

a. $20 of trade diversion.
b. $40 of trade diversion.
c. $20 of trade creation.
d. $40 of trade creation.

ANSWER: d
FEEDBACK:

a.

b.

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c.

d. The formation of a Greece/Germany customs union would result in $40 of trade creation.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 8.1
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Effects of a Regional Trading Arrangement
KEYWORDS: BLOOM'S: Analyze

39. In 1989, Canada and the United States agreed to implement a (an) ____ over a 10-year period.

a. customs union
b. common market
c. free-trade area
d. economic union

ANSWER: c
FEEDBACK:

a.

b.

c. In 1989, the United States and Canada successfully negotiated a free-trade agreement under which free trade between the two nations would be phased in over a 10-year period.

d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: North American Free Trade Agreement: United States–Mexico–Canada Agreement
KEYWORDS: BLOOM'S: Remember

40. In the United States, the North American Free Trade Agreement was generally supported by

a. labor unions.
b. insurance companies.
c. environmentalists.
d. citrus producers.

ANSWER: b
FEEDBACK:

a.

b. American insurance companies have benefited from fewer restrictions on foreign insurers operating in Mexico.

c.

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d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: North American Free Trade Agreement: United States–Mexico–Canada Agreement
KEYWORDS: BLOOM'S: Remember

41. At the Maastricht Summit of 1991, European Union negotiators called for the pursuit of a
a. free trade area.
b. customs union.
c. common market.
d. monetary union.

ANSWER: d
FEEDBACK:
a.
b.
c.
d. The Maastricht Treaty of 1991 called for the formation of a monetary union for eligible EU members, and that was initiated in 1999.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The European Union
KEYWORDS: BLOOM'S: Remember

42. By removing discriminatory government procurement laws within the European Union, member nations hoped to benefit from all of the following EXCEPT
a. EU governments could purchase from the cheapest foreign suppliers.
b. increased competition occurs as domestic firms compete with foreign firms previously shut out of the domestic market.
c. industries are restructured which permits surviving firms to achieve economies of scale.
d. agricultural prices fall as more farmers are allowed to produce their commodities.

ANSWER: d
FEEDBACK:
a.
b.
c.
d. A common agricultural policy has supported EU farm prices through a system of variable levies and voluntary export agreements.

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POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The European Union
KEYWORDS: BLOOM'S: Understand

43. Supporters of Brexit maintained that leaving the EU would lead to
a. a depreciation of the pound.
b. higher inflation.
c. greater U.K. competitiveness.
d. less foreign direct investment.

ANSWER: c
FEEDBACK:
a.
b.
c. Supporters of Brexit maintained that the United Kingdom would be better off economically by being free from EU regulations that hinder U.K. competitiveness.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The European Union
KEYWORDS: BLOOM'S: Apply

44. Suppose that steel from Japan faces a 20 percent tariff in France and a 25 percent tariff in Italy, while France and Italy maintain free trade between each other. France and Italy are therefore part of a (an)
a. free trade area.
b. customs union.
c. common market.
d. economic union.

ANSWER: a
FEEDBACK:
a. A free-trade area is an association of trading nations in which members agree to remove all tariff and nontariff barriers among themselves. Trade restrictions imposed against outsiders are not equalized.
b.
c.
d.

POINTS: 1

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DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Types of Regional Trading Arrangements
KEYWORDS: BLOOM'S: Apply

45. Suppose that Mexico and Canada form a free trade area, and Canada begins importing steel from Mexico rather than from Germany. There occurs

a. trade diversion.
b. trade creation.
c. trade destruction.
d. trade exhaustion.

ANSWER: a
FEEDBACK:
a. Trade diversion occurs when imports from a low-cost supplier outside the union are replaced by purchases from a high-cost supplier within the union.
b.
c.
d.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Effects of a Regional Trading Arrangement
KEYWORDS: BLOOM'S: Apply

46. Suppose that Mexico and Canada form a free trade area. Mexicans then decrease auto manufacturing and increase imports of autos from Canada, while the Canadians decrease computer production and import more computers from Mexico. This is an example of

a. trade diversion.
b. trade creation.
c. trade destruction.
d. trade exhaustion.

ANSWER: b
FEEDBACK:
a.
b. Trade creation occurs when a domestic production of one customs union member is replaced by another member's lower-cost imports.
c.
d.
POINTS: 1
DIFFICULTY: Moderate

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QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Effects of a Regional Trading Arrangement
KEYWORDS: BLOOM'S: Apply

47. If the United States and Canada abolish all tariffs on each other's goods and implement a common tariff on goods imported from other countries, there occurs a (an)

a. free trade area.
b. customs union.
c. common market.
d. economic union.

ANSWER: b
FEEDBACK:
a.
b. A customs union is an agreement among two or more trading partners to remove all tariff and nontariff trade barriers between themselves. In addition, each member nation imposes identical trade restrictions against nonparticipants.
c.
d.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Types of Regional Trading Arrangements
KEYWORDS: BLOOM'S: Apply

48. Suppose that the United Kingdom and Italy abolish all tariffs on each other's goods and all restrictions on movements of factors of production between them. They also implement a common protectionist policy toward other countries. This is an example of a (an)

a. free trade area.
b. customs union.
c. common market.
d. economic union.

ANSWER: b
FEEDBACK:
a.
b. A customs union is an agreement among two or more trading partners to remove all tariff and nontariff trade barriers between themselves. In addition, each member nation imposes identical trade restrictions against nonparticipants.
c.
d.

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POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Types of Regional Trading Arrangements
KEYWORDS: BLOOM'S: Apply

49. The North American Free Trade Agreement have benefited _____ the most.
a. Canada
b. Mexico
c. Greenland
d. United States

ANSWER: b
FEEDBACK:
a.
b. NAFTA's benefits to Mexico have been proportionately much greater than for the United States and Canada because these economies are many times larger than Mexico's.
c.
d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: North American Free Trade Agreement: United States–Mexico–Canada Agreement
KEYWORDS: BLOOM'S: Remember

50. The North American Free Trade Agreement was most strongly opposed by U.S.
a. electronics manufacturers.
b. labor unions.
c. commercial banks.
d. engineering companies.

ANSWER: b
FEEDBACK:
a.
b. American labor unions have been especially concerned that Mexico's low wage scale encourages U.S. companies to locate in Mexico, resulting in job losses in the United States.
c.
d.

POINTS: 1

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DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: North American Free Trade Agreement: United States–Mexico–Canada Agreement
KEYWORDS: BLOOM'S: Remember

51. By joining the North American Free Trade Agreement, the United States found its welfare increasing because of the
a. economies of scale effect.
b. business investment effect.
c. trade creation effect.
d. trade diversion effect.

ANSWER: c
FEEDBACK:
a.
b.
c. Overall, studies have indicated that NAFTA has resulted in greater trade creation than trade diversion for the United States, thus improving its welfare.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: North American Free Trade Agreement: United States–Mexico–Canada Agreement
KEYWORDS: BLOOM'S: Understand

52. When Mexico became a part of the North American Free Trade Agreement, along with Canada and the United States, it
a. eliminated tariffs against Canada and the United States but maintained them against non-members.
b. eliminated tariffs against Canada, the United States, and all non-member countries.
c. increased tariffs against Canada, the United States, and all non-member countries.
d. increased tariffs against Canada and the United States but did not change them against non-member countries.

ANSWER: a
FEEDBACK:
a. A free-trade area is an association of trading nations in which members agree to remove all tariff and nontariff barriers among themselves. Each member maintains its own set of trade restrictions against outsiders. An example of this stage of integration was the NAFTA, which consisted of Canada, Mexico, and the United States. It has since been replaced by the United States–Mexico–Canada Agreement (USMCA).
b.
c.

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d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Types of Regional Trading Arrangements
KEYWORDS: BLOOM'S: Remember

53. Among the benefits that a regional trading arrangement can provide are all of these EXCEPT
a. economies of large-scale production.
b. specialization fostering.
c. attracting foreign investment.
d. a shorter production time.

ANSWER: d
FEEDBACK:
a.
b.
c.
d. An expanded regional market can allow economies of large-scale production, foster specialization, enhance learning by doing, and attract foreign investment. It will not shorten production time.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Impetus for Regionalism
KEYWORDS: BLOOM'S: Remember

54. Regarding the benefits of regional trade agreements, which of the following is NOT a benefit?
a. Regional trade agreements may help manage immigration flows.
b. Regional trade agreements promote regional security.
c. Regional trade agreements may help lock in policy shifts towards market-oriented reform.
d. Regional trade agreements may promote democracy.

ANSWER: d
FEEDBACK:
a.
b.
c.
d. Regional initiatives can foster a variety of noneconomic objectives such as managing immigration flows and promoting regional security. Regionalism may enhance and solidify domestic economic reforms. Regional trade agreements do not promote economic systems.

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POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Impetus for Regionalism
KEYWORDS: BLOOM'S: Understand

55. Smaller nations may seek safe haven trading arrangements with larger nations when future access to that market seems uncertain. This was reason for the formation of

a. WTO.
b. GATT.
c. NAFTA.
d. Council for Mutual Economic Assistance.

ANSWER: c
FEEDBACK:
a.
b.
c. Smaller nations may seek safe-haven trading arrangements with larger nations when future access to the larger nations' markets appears uncertain. This kind of access was a motivation for the formation of NAFTA.
d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Impetus for Regionalism
KEYWORDS: BLOOM'S: Remember

56. As new regional trading arrangements are formed, the opportunity cost of remaining outside

a. increases.
b. decreases.
c. either increases or decreases.
d. neither increases nor decreases.

ANSWER: a
FEEDBACK:
a. As new regional trading arrangements are formed or existing ones are expanded or deepened, the opportunity cost of remaining outside an arrangement increases. Non-member exporters could realize costly decreases in market share if their sales are diverted to companies of the member nations.
b.
c.
d.

POINTS: 1

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DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Impetus for Regionalism
KEYWORDS: BLOOM'S: Understand

57. Regarding the interests of a non-member nation of a regional trading agreement
a. the exporting interests of the non-member nation outweigh its import competing interests.
b. the import competing interests of the non-member nation outweigh its exporting interests.
c. the non-member nation will have a better negotiating position.
d. the non-member nation has no interest in the regional trading arrangement.

ANSWER: a
FEEDBACK:
a. Non-member exporters could realize costly decreases in market share if their sales are diverted to companies of the member nations. This prospect may be sufficient to tip the political balance in favor of becoming a member of a regional trading arrangement, as exporting interests of a non-member nation outweigh its import-competing interests.
b.
c.
d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Impetus for Regionalism
KEYWORDS: BLOOM'S: Understand

58. The World Trade Organization’s efforts to promote trade liberalization globally
a. have become easier.
b. have become more difficult.
c. have remained stable.
d. cannot be achieved.

ANSWER: b
FEEDBACK:
a.
b. By the early 2000s, the WTO efforts to promote trade liberalization globally became more difficult and countries increasingly looked to narrow, regional agreements as an alternative.
c.
d.

POINTS: 1
DIFFICULTY: Easy

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QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Regional Integration Versus Multilateralism
KEYWORDS: BLOOM'S: Understand

59. All of the following are factors mitigating against global trade liberalization EXCEPT
a. regional trading arrangements may limit trade liberalization with outsiders.
b. a small nation might do better entering into a pact with a larger nation rather than competing globally.
c. trading bloc members may not realize economies of scale through global liberalization.
d. trading bloc members prefer competing globally rather than locally.

ANSWER: d
RATIONALE: Trade liberalization under a regional trading arrangement is different from the multilateral liberalization embodied in the WTO. Under regional trading arrangements, nations reduce trade barriers only for a small group of partner nations. Under the WTO, trade liberalization by any one nation is extended to all WTO members.

If trading bloc members prefer competing globally rather than locally they would want multilateral liberalization.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Regional Integration Versus Multilateralism
KEYWORDS: BLOOM'S: Understand

60. Regarding a common market, which of the following is true?
a. It permits the free movement of goods and service among non-members.
b. It exercises common external trade restrictions against members.
c. It represents a more complete integration of member nations than a customs union.
d. It restricts the movement of factors of production across national borders.

ANSWER: c
FEEDBACK:
a.
b.
c. The common market represents a more complete stage of integration than a free-trade area or a customs union.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic

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	United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS:	United States - PA - DISC3: - International trade and finance
TOPICS:	Types of Regional Trading Arrangements
KEYWORDS:	BLOOM'S: Remember

61. The United States serves as an example of
    a. a common market.
    b. a common union.
    c. a monetary union.
    d. a free trade area.

ANSWER:	c
FEEDBACK:	a. b. c. The United States serves as an example of a monetary union among fifty states. The Federal Reserve serves as the single central bank for the nation; it issues currency and conducts the nation's monetary policy. d.
POINTS:	1
DIFFICULTY:	Easy
QUESTION TYPE:	Multiple Choice
HAS VARIABLES:	False
NATIONAL STANDARDS:	United States - BUSPROG: - Analytic United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS:	United States - PA - DISC3: - International trade and finance
TOPICS:	Types of Regional Trading Agreements
KEYWORDS:	BLOOM'S: Remember

62. The task of creating an economic union is
    a. difficult.
    b. relatively easy.
    c. similar to creating a customs union.
    d. the simplest of all economic integrations.

ANSWER:	a
FEEDBACK:	a. The task of creating an economic union is much more ambitious than achieving the other forms of integration. This is because an economic union requires an agreement to transfer economic sovereignty to a supranational authority. b. c. d.
POINTS:	1
DIFFICULTY:	Easy
QUESTION TYPE:	Multiple Choice
HAS VARIABLES:	False
NATIONAL STANDARDS:	United States - BUSPROG: - Analytic United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS:	United States - PA - DISC3: - International trade and finance

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TOPICS: Types of Regional Trading Agreements
KEYWORDS: BLOOM'S: Understand

63. Suppose that Canada has domestic firms that could supply its entire market for radios at a price of $50, while U.S. firms could supply radios at $40 and Mexico at $30. Suppose that Canada initially has a 50 percent tariff on imports of radios and then forms a free trade area with Mexico. As a result, Canada realizes

a. trade creation, no trade diversion, and overall welfare gains.
b. trade creation, no trade diversion, and overall welfare losses.
c. trade diversion, no trade creation, and potential overall welfare losses.
d. trade diversion, trade creation, and potential overall welfare gains.

ANSWER: a
RATIONALE: Trade creation occurs when a domestic production of one customs union member is replaced by another member's lower-cost imports.

Canada's entry into the free-trade area results in its dropping all tariffs against Mexico. Facing a lower import price of $30, Canada increases its consumption of radios and has a welfare gain.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Effects of a Regional Trading Arrangement
KEYWORDS: BLOOM'S: Apply

64. The formation of the European Monetary Union is expected to entail benefits for member countries which include all of the following EXCEPT

a. greater certainty for investors within the EMU.
b. lower costs of transactions within the EMU.
c. independent monetary policies run by the central bank of each member country.
d. enhanced competition among companies in member countries.

ANSWER: c
FEEDBACK:
a.
b.
c. The broader benefits of a single currency must be compared against the loss of two policy instruments: an independent monetary policy and the option of changing the exchange rate.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance

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TOPICS: The Eurozone—Europe's Monetary Union
KEYWORDS: BLOOM'S: Remember

65. According to the theory of optimum currency areas, a currency area has the least chance for success when
a. countries of the currency area have differing business cycles.
b. workers have a high degree of mobility across borders of the currency area.
c. prices and wages can be adjusted in response to economic disturbances.
d. a single monetary policy affects all member countries in the same manner.

ANSWER: a
FEEDBACK:
a. The theory of optimal currency areas concludes that for a currency area to have the best chance of success, the countries involved should have similar business cycles and economic structures.
b.
c.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The Eurozone—Europe's Monetary Union
KEYWORDS: BLOOM'S: Understand

66. A main disadvantage of the European Monetary Union is that
a. each member country loses the use of monetary policy as to tool to combat recession.
b. there is a high degree of labor mobility among the member countries.
c. prices are highly flexible in response to changing economic conditions.
d. wages are highly flexible in response to changing economic conditions.

ANSWER: a
FEEDBACK:
a. A main disadvantage of the European Monetary Union is the absence of individual domestic monetary policy to counter macroeconomic shocks.
b.
c.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The Eurozone—Europe's Monetary Union
KEYWORDS: BLOOM'S: Understand

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67. World welfare under a customs union
a. increases because of a trade creation effect.
b. increases because of a trade diversion effect.
c. is not affected by the trade creation and the trade diversion effects.
d. decreases because of a trade creation effect.

ANSWER: a
FEEDBACK:
a. World welfare under a customs union increases because of a trade creation effect. Trade creation occurs when a domestic production of one customs union member is replaced by another member's lower-cost imports.
b.
c.
d.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Effects of a Regional Trading Arrangement
KEYWORDS: BLOOM'S: Understand

68. A common market
a. allows the imposition of common external trade barriers against non-members.
b. represents less economic integration than a free trade area.
c. does not permit free movement of goods among member nations.
d. does not allow free movement of factors of production among nations.

ANSWER: a
FEEDBACK:
a. A common market is a group of trading nations that permits (1) the free movement of goods and services among member nations, (2) the initiation of common external trade restrictions against non-members, and (3) the free movement of factors of production across national borders within the economic bloc.
b.
c.
d.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Types of Regional Trading Arrangements
KEYWORDS: BLOOM'S: Remember

69. The gains from having an optimum currency include

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a. price differentiation.
b. lower competition.
c. lower transaction costs.
d. independent monetary policies run by the central bank of each member country.

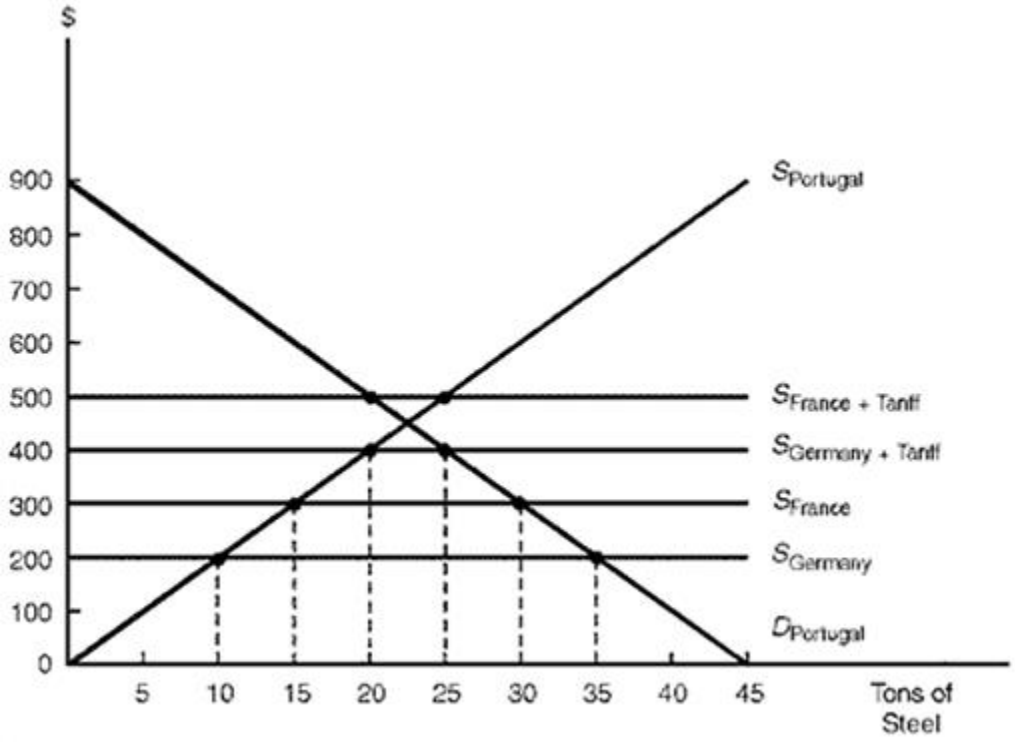
ANSWER: c

FEEDBACK:
a.
b.
c. According to the theory of optimal currency areas, gains are to be had from sharing a currency across countries' boundaries, including more uniform prices, lower transaction costs, greater certainty for investors, and enhanced competition.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The Eurozone—Europe's Monetary Union
KEYWORDS: BLOOM'S: Remember

The figure below depicts the steel market for Portugal, a small nation that is unable to affect the world price. Assume that Germany and France can supply steel to Portugal at a price of $200 and $300, respectively.

Figure 8.2. Portugal's Steel Market



70. Consider Figure 8.2. With free trade, Portugal will
a. import 0 tons of steel for Germany and 15 tons of steel from France at $300 per ton.

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b. import 25 tons of steel from Germany at $200 per ton and 15 tons of steel from France at $300 per ton.
c. import 15 tons of steel from Germany at $200 per ton and 10 tons of steel from France at $200 per ton.
d. import 25 tons of steel from Germany at $200 per ton and 0 tons from France.

ANSWER: d
FEEDBACK:
a.
b.
c.
d. With free trade, Portugal will import 25 tons of steel from Germany at $200 per ton and 0 tons from France.
POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 8.2
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Effects of a Regional Trading Arrangement
KEYWORDS: BLOOM'S: Apply

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71. Consider Figure 8.2. With free trade, Portugal will
a. produce 10 tons of steel, consume 35 tons of steel, and import 25 tons of steel.
b. produce 15 tons of steel, consume 30 tons of steel, and import 15 tons of steel.
c. produce 0 tons of steel, consume 35 tons of steel, and import 35 tons of steel.
d. produce 15 tons of steel, consume 35 tons of steel, and import 20 tons of steel.

ANSWER: a
FEEDBACK:
a. With free trade, Portugal will produce 10 tons of steel, consume 35 tons of steel, and import 25 tons of steel.
b.
c.
d.
POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
PREFACE NAME: Figure 8.2
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC7: - Reading and interpreting graphs
TOPICS: Effects of a Regional Trading Arrangement
KEYWORDS: BLOOM'S: Apply

72. Advocates of the North American Free Trade Agreement hoped that a (an) _____ in Mexican exports would _____ the migration of labor from Mexico to the United States.
a. increase, increase
b. increase, decrease

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c. decrease, increase
d. decrease, decrease

ANSWER: b

FEEDBACK:
a.
b. Advocates of the North American Free Trade Agreement hoped that by helping Mexico develop as part of an integrated North America and increase exports, the migration of labor from Mexico to the United States would decrease.
c.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: North American Free Trade Agreement: United States–Mexico–Canada Agreement
KEYWORDS: BLOOM'S: Understand

73. American critics of the North American Free Trade Agreement thought that it could
a. cause American workers to migrate to Mexico to find jobs.
b. cause U.S. companies to move to Mexico to benefit from lower labor costs.
c. cause Mexican companies to move to the United States to benefit from higher labor productivity.
d. cause Mexican companies to move to the United States to benefit from higher labor costs.

ANSWER: b

FEEDBACK:
a.
b. According to NAFTA critics, U.S. companies would move to Mexico to capitalize on Mexico's cheap labor.
c.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: North American Free Trade Agreement: United States–Mexico–Canada Agreement
KEYWORDS: BLOOM'S: Remember

74. American critics of the North American Free Trade Agreement thought that it could cause some U.S. companies to move to Mexico to benefit from
a. lenient environment policies of the Mexican government.
b. high wages of Mexican workers.
c. low productivity of Mexican workers.
d. high corporate tax rates of the Mexican government.

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ANSWER: a

FEEDBACK:

a. Mexico's environmental regulations have been criticized as less stringent than those of the United States. American labor and environmental activists fear that polluting Mexican plants might cause plants in the United States, which are cleaner but more expensive to operate, to close down.

b.

c.

d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: North American Free Trade Agreement: United States–Mexico–Canada Agreement
KEYWORDS: BLOOM'S: Remember

75. For the United States, the political debate of joining NAFTA was very intense because of Mexico's
a. relatively high wage levels.
b. relatively high levels of environmental enforcement.
c. relatively high standards for protecting workers.
d. relatively low-skilled workers.

ANSWER: d

FEEDBACK:

a.

b.

c.

d. The political debate of joining NAFTA was very intense because of Mexico's relatively low-skilled workers. American labor unions were concerned that Mexico's low wage scale encourages U.S. companies to locate in Mexico, resulting in job losses in the United States.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: North American Free Trade Agreement: United States–Mexico–Canada Agreement
KEYWORDS: BLOOM'S: Understand

76. When the United States was considering joining NAFTA, many economists predicted that the U.S. factor of production that would be most harmed was
a. skilled labor.
b. unskilled labor.
c. capital.
d. entrepreneurship.

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ANSWER: b

FEEDBACK:

a.

b. Many economists predicted that the U.S. factor of production that would be most harmed was unskilled labor. Unskilled workers are most vulnerable to competition from low-paid workers abroad.

c.

d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: North American Free Trade Agreement: United States–Mexico–Canada Agreement
KEYWORDS: BLOOM'S: Remember

77. The USMCA is essentially a
a. free trade area.
b. customs union.
c. economic union.
d. monetary union.

ANSWER: a

FEEDBACK:

a. The U.S.–Mexico–Canada Agreement is a free-trade agreement.

b.

c.

d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Types of Regional Trading Arrangements
KEYWORDS: BLOOM'S: Remember

78. A customs union that results in a sizable amount of _____ would be beneficial to global welfare.
a. trade creation
b. trade diversion
c. trade restrictions
d. trade diversification

ANSWER: a

FEEDBACK:

a. A customs union that results in a sizable amount of trade creation would be beneficial to global welfare. The larger the size and the greater the number of nations in the union, the greater the gains are likely to be because there is a greater possibility that the world's low-cost producers will be union members.

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b.

c.

d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Effects of a Regional Trading Arrangement
KEYWORDS: BLOOM'S: Understand

79. Relative to a regional trade agreement, a multilateral trade agreement may be more beneficial to global welfare in that it entails

a. less trade creation.

b. less trade diversion.

c. more trade diversion.

d. more trade consumption.

ANSWER: b
FEEDBACK:

a.

b. Trade diversion occurs when imports from a low-cost supplier outside the union are replaced by purchases from a high-cost supplier within the union. A multilateral trade agreement may less trade diversion.

c.

d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Effects of a Regional Trading Arrangement
KEYWORDS: BLOOM'S: Understand

80. In terms of static economic analysis, if a customs union results in a large amount of trade creation relative to trade diversion, world welfare

a. increases.

b. decreases.

c. either increases or decreases.

d. neither increases nor decreases.

ANSWER: a
FEEDBACK:

a. From a static perspective, the formation of a customs union yields net welfare gains if the consumption and production benefits of trade creation more than offset the loss in world efficiency owing to trade diversion.

b.

c.

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d.

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Effects of a Regional Trading Arrangement
KEYWORDS: BLOOM'S: Remember

81. In terms of static economic analysis, if a customs union results in a small amount of trade creation relative to trade diversion, world welfare

a. increases.
b. decreases.
c. either increases or decreases.
d. neither increases nor decreases.

ANSWER: b
FEEDBACK:

a.
b. From a static perspective, the formation of a customs union yields net welfare gains if the consumption and production benefits of trade creation more than offset the loss in world efficiency owing to trade diversion.
c.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Effects of a Regional Trading Arrangement
KEYWORDS: BLOOM'S: Understand

82. An objective of all of the members of the European Union has been to

a. abolish tariff and nontariff barriers to trade among member countries.
b. adopt identical fiscal policies for all countries belonging to the EU.
c. form a customs union agreement with members of NAFTA.
d. establish a common currency and a common monetary policy.

ANSWER: a
FEEDBACK:

a. An objective of all of the members of the European Union has been to abolish tariff and nontariff barriers to trade among member countries. The elimination of these barriers resulted in the formation of a European common market.
b.
c.
d.

POINTS: 1
DIFFICULTY: Moderate

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QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The European Union
KEYWORDS: BLOOM'S: Understand

83. Members of the Eurozone have adopted <u>further</u> economic integration than the other members by
a. abolishing tariff and nontariff barriers to trade among each other.
b. adopting uniform policies on the movement of factors of production.
c. establishing common trade policies against countries that were not members of the EU.
d. implementing a common currency and a common monetary policy.

ANSWER: d
FEEDBACK:
a.
b.
c.
d. The euro is the official currency of 19 of the 27-member states of the European Union. These states, known collectively as the Eurozone, have implemented a common currency and a common monetary policy.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The European Union
KEYWORDS: BLOOM'S: Understand

84. If the United States and Canada implement a regional trading agreement that results in the two countries eliminating trade barriers between themselves while maintaining separate trade barriers against non-member countries, they have formed a
a. common market.
b. customs union.
c. free trade area.
d. economic union.

ANSWER: c
FEEDBACK:
a.
b.
c. A free-trade area is an association of trading nations in which members agree to remove all tariff and nontariff barriers among themselves. Each member maintains its own set of trade restrictions against outsiders.
d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False

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NATIONAL STANDARDS: United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Types of Regional Trading Arrangements
KEYWORDS: BLOOM'S: Apply

85. The formation of a regional trading bloc results in trade creation if
a. inefficient domestic production is replaced by more efficient production from another member country.
b. inefficient domestic production is replaced by more efficient production from a non-member country.
c. member countries import more but export less to non-member countries.
d. member countries export less but import more from non-member countries.

ANSWER: a
FEEDBACK:
a. There are dynamic welfare gains that stem from greater competition, economies of scale, and the stimulus to investment spending that economic integration makes possible. With freer trade, domestic producers must compete or face the possibility of financial bankruptcy. To survive in expanded and more-competitive markets, producers must cut waste, keep prices down, improve quality, and raise productivity.
b.
c.
d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Effects of a Regional Trading Arrangement
KEYWORDS: BLOOM'S: Understand

86. Regarding stages of economic integration, a customs union
a. goes beyond a free trade area by including a common external tariff.
b. falls short of a free trade area by excluding a common external tariff.
c. goes beyond a common market by including a common transportation policy.
d. goes beyond a common market by including a common agricultural policy.

ANSWER: a
FEEDBACK:
a. The stages of economic integration are (a) free-trade area, (b) customs union, (c) common market, (d) economic union, and (e) monetary union. A customs union is an agreement among two or more trading partners to remove all tariff and nontariff trade barriers between themselves. In addition, each member nation imposes identical trade restrictions against nonparticipants.
b.
c.
d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False

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STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Types of Regional Trading Arrangements
KEYWORDS: BLOOM'S: Remember

87. If several countries form a regional trading pact that removes tariffs between the members, implements a common external tariff structure, permits free mobility of factors of production, and integrates fiscal policies, they have formed a/an

a. customs union.
b. economic union.
c. free trade area.
d. common market.

ANSWER: b
FEEDBACK:
a.
b. A common market could evolve to the stage of economic union, in which national, social, taxation, and fiscal policies are harmonized and administered by a supranational institution.
c.
d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Types of Regional Trading Arrangements
KEYWORDS: BLOOM'S: Apply

88. After Brexit, the U.K.'s and the European Union have a/an

a. free trade area.
b. customs union.
c. common market.
d. economic union.

ANSWER: c
FEEDBACK:
a.
b.
c. The Brexit 'divorce settlement' consisted of a free trade agreement in which there would be no tariffs or quotas placed on traded goods between the United Kingdom and the 27 members of the European Union.
d.

POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance

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TOPICS: Types of Regional Trading Arrangements
KEYWORDS: BLOOM'S: Remember

89. Countries pursuing membership in the European Monetary Union (Eurozone) are supposed to meet "convergence criteria," which includes

a. price instability.
b. high long-term interest rates.
c. sound governmental finances.
d. unstable exchange rates.

ANSWER: c
FEEDBACK:
a.
b.
c. The specific convergence criteria as mandated by the Maastricht Treaty are price stability, low long-term interest rates, stable exchange rates, and sound public finances.
d.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The European Union
KEYWORDS: BLOOM'S: Remember

90. According to the theory of optimal currency areas, there are gains to be achieved from sharing a currency across national boundaries. These gains include

a. higher transactions costs.
b. greater uncertainty for investors.
c. monetary policies run by central banks of member nations.
d. enhanced competition.

ANSWER: d
FEEDBACK:
a.
b.
c.
d. According to the theory of optimal currency areas, gains are to be had from sharing a currency across countries' boundaries, including more uniform prices, lower transaction costs, greater certainty for investors, and enhanced competition.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The Eurozone—Europe's Monetary Union
KEYWORDS: BLOOM'S: Understand

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91. The theory of optimal currency areas concludes that for a currency area to have the best chance of success
    a. workers in the affected country must be able to work freely in their countries.
    b. prices and wages are fixed.
    c. countries should have similar business cycles.
    d. countries should have different economic structures.

ANSWER: c

FEEDBACK:
    a.
    b.
    c. The theory of optimal currency areas concludes that for a currency area to have the best chance of success, the countries involved should have similar business cycles and economic structures.
    d.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Multiple Choice
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The Eurozone—Europe's Monetary Union
KEYWORDS: BLOOM'S: Understand

92. The European Union protects its agricultural producers from import competition through a system of variable levies that applies tariffs to agricultural imports.
    a. True
    b. False

ANSWER: True

FEEDBACK:
Correct A common agricultural policy has supported EU farm prices through a system of variable levies that applies tariffs to agricultural imports entering the European Union.
Incorrect

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The European Union
KEYWORDS: BLOOM'S: Remember

93. Under the variable levy system of the European Union, EU farmers are protected against import competition by tariffs that vary inversely with the world price.
    a. True
    b. False

ANSWER: True

FEEDBACK:
Correct During periods of falling world prices, the variable levy results in automatic

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increases in the European Union's import tariff. During periods of rising world prices, the variable levy results in automatic decreases in the European Union's import tariff.

Incorrect

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The European Union
KEYWORDS: BLOOM'S: Understand

94. Trade creation tends to more than offset trade diversion for a home country forming a customs union with partner countries when: (1) the tariff rate in the home country is high prior to the formation of the customs union; (2) there are a large number of countries forming the customs union.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* Several factors influence the extent of trade creation and trade diversion: (a) the degree of competitiveness that member nation economies have prior to formation of the customs union, (b) the number and size of its members, and (c) the size of its external tariff against non-members.

Incorrect

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Effects of a Regional Trading Arrangement
KEYWORDS: BLOOM'S: Understand

95. If Chile and Mexico form a free trade agreement, the welfare of the two countries will necessarily increase.

a. True
b. False

ANSWER: False
FEEDBACK: *Correct*

Incorrect The formation of a customs union leads to a welfare-increasing trade creation effect and a welfare-decreasing trade-diversion effect. The overall effect of the free trade agreement on the welfare of its members depends on the relative strength of these two opposing forces.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False

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STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Effects of a Regional Trading Arrangement
KEYWORDS: BLOOM'S: Analyze

96. If Chile and Mexico abolish all tariffs on each other's products while maintaining their own tariffs against other countries, these two countries have formed a customs union.

a. True
b. False

ANSWER: False
FEEDBACK: *Correct*
Incorrect A customs union is an agreement among two or more trading partners to remove all tariff and nontariff trade barriers between themselves. In addition, each member nation imposes identical trade restrictions against nonparticipants.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Types of Regional Trading Arrangements
KEYWORDS: BLOOM'S: Apply

97. With a regional trading arrangement, a group of countries agrees to unilaterally reduce tariffs applied to imports from all countries of the world.

a. True
b. False

ANSWER: False
FEEDBACK: *Correct*
Incorrect Under a regional trading arrangement, member nations agree to impose lower barriers to trade within the group while maintaining higher barriers to trade with non-member nations.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Introduction
KEYWORDS: BLOOM'S: Understand

98. Economic integration is the process of eliminating restrictions on international trade, payments, and factor mobility.

a. True
b. False

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ANSWER: True

FEEDBACK:
Correct The term economic integration refers to the process of eliminating restrictions on international trade, payments, and factor input mobility.
Incorrect

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Types of Regional Trading Arrangements
KEYWORDS: BLOOM'S: Remember

99. When a group of countries establish a free trade area, they achieve the highest stage of economic integration.
a. True
b. False

ANSWER: False

FEEDBACK:
Correct
Incorrect The stages of economic integration are (a) free-trade area, (b) customs union, (c) common market, (d) economic union, and (e) monetary union.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Types of Regional Trading Arrangements
KEYWORDS: BLOOM'S: Understand

100. A free trade area is an association of trading countries whose members agree to remove all trade restrictions among themselves, while each member country imposes identical trade restrictions against non-member countries.
a. True
b. False

ANSWER: False

FEEDBACK:
Correct
Incorrect A free-trade area is an association of trading nations in which members agree to remove all tariff and nontariff barriers among themselves. Each member maintains its own set of trade restrictions against outsiders.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
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STATE STANDARDS: United States - PA - DISC3: - International trade and finance

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TOPICS: Types of Regional Trading Arrangements
KEYWORDS: BLOOM'S: Remember

101. If the United Kingdom and Italy eliminate all tariffs on each other's goods and all restrictions to factor movements between them and if they implement a uniform system of import restrictions against the rest of the world, these countries have formed a common market.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* A common market is a group of trading nations that permits (1) the free movement of goods and services among member nations, (2) the initiation of common external trade restrictions against non-members, and (3) the free movement of factors of production across national borders within the economic bloc.
Incorrect
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Types of Regional Trading Arrangements
KEYWORDS: BLOOM'S: Apply

102. The highest stage of economic integration is a monetary union.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* The stages of economic integration are (a) free-trade area, (b) customs union, (c) common market, (d) economic union, and (e) monetary union.
Incorrect
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Types of Regional Trading Arrangements
KEYWORDS: BLOOM'S: Remember

103. Trade creation would occur if Canada and the United States form a free trade area and the Canadians then import less steel from the United States while importing more steel from Japan.

a. True
b. False

ANSWER: False
FEEDBACK: *Correct*

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Incorrect Trade creation occurs when a domestic production of one customs union member is replaced by another member's lower-cost imports.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Effects of a Regional Trading Arrangement
KEYWORDS: BLOOM'S: Apply

104. Suppose that Mexico and Canada form a free trade area. The Mexicans then decrease refrigerator manufacturing and increase imports of refrigerators from Canada, while the Canadians decrease auto manufacturing and import more autos from Mexico. This is an example of trade creation.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* Trade creation occurs when a domestic production of one customs union member is replaced by another member's lower-cost imports.
Incorrect
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Effects of a Regional Trading Arrangement
KEYWORDS: BLOOM'S: Apply

105. Trade creation and trade diversion refer to the short-run (static) effects of economic integration, while economies of scale, stimulus to investment, and effects on competition refer to the long-run (dynamic) effects.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* The welfare implications of economic integration can be analyzed from two perspectives. First are the static welfare effects resulting from trade creation and trade diversion. Second are the dynamic welfare effects that stem from greater competition, economies of scale, and the stimulus to investment spending that economic integration makes possible.
Incorrect
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
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STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Effects of a Regional Trading Arrangement
KEYWORDS: BLOOM'S: Remember

106. For countries forming a customs union, the trade creation effect represents a welfare loss and the trade diversion effect represents a welfare gain.

a. True
b. False

ANSWER: False
FEEDBACK: *Correct*
Incorrect A customs union may add to welfare by way of trade creation, its trade diversion effect generally implies a welfare loss.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Effects of a Regional Trading Arrangement
KEYWORDS: BLOOM'S: Understand

107. In the short run, Mexico would realize overall welfare gains from becoming a member of the North American Free Trade Agreement if the resulting diseconomies of scale affect more than offset the competition effect.

a. True
b. False

ANSWER: False
FEEDBACK: *Correct*
Incorrect Dynamic welfare effects stem from greater competition, economies of scale, and the stimulus to investment spending that economic integration makes possible.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: North American Free Trade Agreement: United States–Mexico–Canada Agreement
KEYWORDS: BLOOM'S: Understand

108. Trade creation occurs when imports from a low-cost supplier outside of a customs union are replaced by purchases from a higher-cost supplier within the union.

a. True
b. False

ANSWER: False
FEEDBACK: *Correct*

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Incorrect Trade creation occurs when a domestic production of one customs union member is replaced by another member's lower-cost imports.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Effects of a Regional Trading Arrangement
KEYWORDS: BLOOM'S: Understand

109. If a customs union includes the low-cost supplier of the world, there would be no adverse trade diversion effect that would counteract the positive trade creation effect.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* Trade creation occurs when a domestic production of one customs union member is replaced by another member's lower-cost imports. Trade diversion occurs when imports from a low-cost supplier outside the union are replaced by purchases from a high-cost supplier within the union.

Incorrect

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Effects of a Regional Trading Arrangement
KEYWORDS: BLOOM'S: Understand

110. The potential for trade diversion is smaller when a custom union's external tariff is lower rather than higher.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* The potential for trade diversion is smaller when a custom union's external tariff is lower rather than higher.

Incorrect

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Effects of a Regional Trading Arrangement

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KEYWORDS: BLOOM'S: Understand

111. If a customs union included all of the countries in the world, there could exist only trade creation, not trade diversion.

a. True

b. False

ANSWER: True

FEEDBACK:

Correct Trade creation occurs when a domestic production of one customs union member is replaced by another member's lower-cost imports. Trade diversion occurs when imports from a low-cost supplier outside the union are replaced by purchases from a high-cost supplier within the union.

Incorrect

POINTS: 1

DIFFICULTY: Moderate

QUESTION TYPE: True / False

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking

STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: Effects of a Regional Trading Arrangement

KEYWORDS: BLOOM'S: Analyze

112. The larger the size and the greater the number of countries in a customs union, the greater the trade diversion effect.

a. True

b. False

ANSWER: False

FEEDBACK:

Correct

Incorrect The larger the size and the greater the number of countries in a customs union, the greater the trade creation effect.

POINTS: 1

DIFFICULTY: Moderate

QUESTION TYPE: True / False

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking

STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: Effects of a Regional Trading Arrangement

KEYWORDS: BLOOM'S: Understand

113. Over the long run, the formation of a customs union may yield welfare gains that are due to economies of scale, greater competition, and stimulus to investment.

a. True

b. False

ANSWER: True

FEEDBACK:

Correct There are dynamic welfare effects that stem from greater competition, economies of scale, and the stimulus to investment spending that economic integration makes possible.

Incorrect

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POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Effects of a Regional Trading Arrangement
KEYWORDS: BLOOM'S: Remember

114. By the mid-1990s, the European Union had essentially achieved the common market stage of economic integration.

a. True

b. False

ANSWER: True
FEEDBACK: *Correct* By 1992, the European Union had essentially reached the common market stage of integration.
Incorrect
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The European Union
KEYWORDS: BLOOM'S: Remember

115. At the Maastricht Summit of 1991, members of the European Union expressed the goal of achieving the common market stage of economic integration.

a. True

b. False

ANSWER: False
FEEDBACK: *Correct*
Incorrect The Maastricht Treaty of 1991 called for the formation of a monetary union for eligible EU members.
POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The European Union
KEYWORDS: BLOOM'S: Remember

116. To protect its farmers from foreign competition, the European Union has utilized variable import levies and export subsidies.

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a. True
b. False

ANSWER: True

FEEDBACK:
Correct A common agricultural policy has supported EU farm prices through a system of variable levies that applies tariffs to agricultural imports entering the European Union. Exports of any surplus quantities of EU produce have been assured through the adoption of export subsidies.
Incorrect

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The European Union
KEYWORDS: BLOOM'S: Remember

117. At the Brexit Referendum of 2016, British voters opted to leave the EU.
a. True
b. False

ANSWER: True

FEEDBACK:
Correct At the Brexit Referendum of 2016, British voters opted to leave the EU, with 52 percent voting “leave.”
Incorrect

POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The European Union
KEYWORDS: BLOOM'S: Remember

118. Supporters of Brexit contended that EU regulations hindered U.K. competitiveness.
a. True
b. False

ANSWER: False

FEEDBACK:
Correct
Incorrect Supporters of Brexit maintained that the United Kingdom would be better off politically and economically by reclaiming sovereignty and being free from EU regulations that hinder U.K. competitiveness.

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False

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STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The European Union
KEYWORDS: BLOOM'S: Understand

119. On January 31, 2020, Britain officially left the European Union, but their commercial relationship remained essentially unchanged until a later date.

a. True

b. False

ANSWER: True
FEEDBACK: *Correct* On January 31, 2020, Britain officially left the European Union. However, the terms of their relationship remained unsettled as London and Brussels agreed that their commercial relationship would remain essentially unchanged until December 31, 2020.
Incorrect
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The European Union
KEYWORDS: BLOOM'S: Remember

120. During the 1980s and 1990s, the United States negotiated free trade agreements with Israel, Mexico, and Canada.

a. True

b. False

ANSWER: True
FEEDBACK: *Correct* The United States has free-trade agreements with many other countries including Israel, Mexico, and Canada.
Incorrect
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Types of Regional Trading Arrangements
KEYWORDS: BLOOM'S: Remember

121. Canada’s benefits from NAFTA have been mostly in the form of safeguards.

a. True

b. False

ANSWER: True

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FEEDBACK: *Correct* Canada's benefits from NAFTA have been mostly in the form of safeguards: maintenance of its status in international trade, no loss of its current free-trade preferences in the U.S. market, and equal access to Mexico's market.

Incorrect

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: North American Free Trade Agreement: United States–Mexico–Canada Agreement
KEYWORDS: BLOOM'S: Analyze

122. NAFTA proponents maintain that the agreement has benefited the U.S. economy.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* NAFTA proponents maintain that the agreement has benefited the U.S. economy overall by expanding trade opportunities, reducing prices, increasing competition, and enhancing the ability of U.S. firms to attain economies of large-scale production.

Incorrect

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: North American Free Trade Agreement: United States–Mexico–Canada Agreement
KEYWORDS: BLOOM'S: Understand

123. Negotiating the North American Free Trade Agreement was relatively easy since it involved meshing two large industrial countries with a developing country.

a. True
b. False

ANSWER: False
FEEDBACK: *Correct*

Incorrect Negotiating the free-trade agreement was difficult because it required meshing two large advanced industrial economies (the United States and Canada) with that of a sizable developing nation (Mexico).

POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False

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NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: North American Free Trade Agreement: United States–Mexico–Canada Agreement
KEYWORDS: BLOOM'S: Remember

124. U.S. labor unions argued against the North American Free Trade Agreement on the grounds that it would result in U.S. companies relocating in Mexico in order to take advantage of lower wage rates.

a. True

b. False

ANSWER: True
FEEDBACK: *Correct* American labor unions were concerned that Mexico's low wage scale encourages U.S. companies to locate in Mexico, resulting in job losses in the United States.
Incorrect
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: North American Free Trade Agreement: United States–Mexico–Canada Agreement
KEYWORDS: BLOOM'S: Remember

125. The North American Free Trade Agreement was expected to provide proportionately smaller benefits to Mexico than to the United States or Canada.

a. True

b. False

ANSWER: False
FEEDBACK: *Correct*
Incorrect NAFTA's benefits to Mexico have been proportionately much greater than for the United States and Canada because these economies are many times larger than Mexico's.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: North American Free Trade Agreement: United States–Mexico–Canada Agreement
KEYWORDS: BLOOM'S: Understand

126. All welfare consequences of a regional trading arrangement are dynamic.

a. True

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b. False

ANSWER: False

FEEDBACK: *Correct*

Incorrect There are dynamic welfare effects that stem from greater competition, economies of scale, and the stimulus to investment spending that economic integration makes possible. From a static perspective, the formation of a customs union yields net welfare gains if the consumption and production benefits of trade creation more than offset the loss in world efficiency owing to trade diversion.

POINTS: 1

DIFFICULTY: Moderate

QUESTION TYPE: True / False

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking

STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: Effects of a Regional Trading Arrangement

KEYWORDS: BLOOM'S: Remember

127. All welfare effects of a regional trading agreement are static.

a. True

b. False

ANSWER: False

FEEDBACK: *Correct*

Incorrect There are dynamic welfare effects that stem from greater competition, economies of scale, and the stimulus to investment spending that economic integration makes possible.

POINTS: 1

DIFFICULTY: Moderate

QUESTION TYPE: True / False

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking

STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: Effects of a Regional Trading Arrangement

KEYWORDS: BLOOM'S: Remember

128. Within a customs union, broader markets may also promote greater competition among producers.

a. True

b. False

ANSWER: True

FEEDBACK: *Correct* Several factors influence the extent of trade creation and trade diversion including the number and size of its members. Broader markets may also promote greater competition among producers.

Incorrect

POINTS: 1

DIFFICULTY: Moderate

QUESTION TYPE: True / False

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STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Effects of a Regional Trading Arrangement
KEYWORDS: BLOOM'S: Remember

129. Following World War II, Western European nations suffered from balance-of-payments deficits that were due to reconstruction.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* In the years immediately after World War II, Western European countries suffered balance-of-payment deficits in response to reconstruction efforts.
Incorrect
POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The European Union
KEYWORDS: BLOOM'S: Remember

130. After the U.K.'s exit from the European Union, the deal established obstacles that made it more complicated for exporters and importers to conduct business in Europe than it was when the United Kingdom was a member of the European Union.

a. True
b. False

ANSWER: True
FEEDBACK: *Correct* After the U.K.'s exit from the European Union, the deal established obstacles that made it more complicated for exporters and importers to conduct business in Europe than it was when the United Kingdom was a member of the European Union. For example, U.K. animal and food exports to the European Union encounter inspections on arrival, and exporters require customs declarations.
Incorrect
POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The European Union
KEYWORDS: BLOOM'S: Remember

131. Advocates of the North American Free Trade Agreement hoped that a rise in Mexican exports to the United States

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would discourage labor migration from Mexico to the United States.

a. True

b. False

ANSWER: True

FEEDBACK:

Correct Advocates of the North American Free Trade Agreement hoped that by helping Mexico develop as part of an integrated North America and increase exports, the migration of labor from Mexico to the United States would decrease.

Incorrect

POINTS: 1

DIFFICULTY: Moderate

QUESTION TYPE: True / False

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic

STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: North American Free Trade Agreement: United States–Mexico–Canada Agreement

KEYWORDS: BLOOM'S: Understand

132. Under the North American Free Trade Agreement, Canada, Mexico, and the United States agreed to adopt free trade among each other but also to fully harmonize their fiscal and monetary policies.

a. True

b. False

ANSWER: False

FEEDBACK:

Correct

Incorrect The success of Europe in forming the European Union inspired the United States to launch several regional free-trade agreements, including NAFTA. Further integration was never a goal.

POINTS: 1

DIFFICULTY: Moderate

QUESTION TYPE: True / False

HAS VARIABLES: False

NATIONAL STANDARDS: United States - BUSPROG: - Analytic

STATE STANDARDS: United States - PA - DISC3: - International trade and finance

TOPICS: North American Free Trade Agreement: United States–Mexico–Canada Agreement

KEYWORDS: BLOOM'S: Understand

133. A free trade area and a customs union differ in the way in which member nations treat imports from non-member nations.

a. True

b. False

ANSWER: True

FEEDBACK:

Correct In a free-trade area each member maintains its own set of trade restrictions against outsiders. In a customs union each member nation imposes identical trade restrictions against nonparticipants.

Incorrect

POINTS: 1

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DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Types of Regional Trading Arrangements
KEYWORDS: BLOOM'S: Understand

134. In terms of static economic analysis, if a customs union results in a large amount of trade diversion relative to trade creation, world welfare declines.

a. True
b. False

ANSWER: True
FEEDBACK:
Correct From a static perspective, the formation of a customs union yields net welfare gains if the consumption and production benefits of trade creation more than offset the loss in world efficiency owing to trade diversion.
Incorrect
POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Effects of a Regional Trading Arrangement
KEYWORDS: BLOOM'S: Remember

135. A free trade area is like a customs union EXCEPT its members adopt a common external tariff structure.

a. True
b. False

ANSWER: False
FEEDBACK:
Correct
Incorrect In a free-trade area each member maintains its own set of trade restrictions against outsiders. In a customs union each member nation imposes identical trade restrictions against nonparticipants.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Types of Regional Trading Arrangements
KEYWORDS: BLOOM'S: Understand

136. An optimal currency area is a region in which it is economically preferable to have a single official currency rather than multiple official currencies.

a. True
b. False

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ANSWER: True
FEEDBACK: *Correct* An optimal currency area is a region in which it is economically preferable to have a single official currency rather than multiple official currencies.
Incorrect
POINTS: 1
DIFFICULTY: Easy
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The Eurozone—Europe's Monetary Union
KEYWORDS: BLOOM'S: Remember

137. An advantage of the European Monetary Union (Eurozone) is that its member countries have common fiscal policies.
a. True
b. False
ANSWER: False
FEEDBACK: *Correct*
Incorrect The Eurozone countries do not have a fiscal union, implying that they have separate government spending and taxation programs.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: True / False
HAS VARIABLES: False
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The Eurozone—Europe's Monetary Union
KEYWORDS: BLOOM'S: Remember

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138. What is meant by economic integration?
ANSWER: The term refers to the process of eliminating restrictions on international trade, payments, and factor input mobility.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Subjective Short Answer
HAS VARIABLES: False
STUDENT ENTRY MODE: Basic
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: Types of Regional Trading Arrangements
KEYWORDS: BLOOM'S: Remember

139. What factors influence the extent of trade creation and trade diversion?
ANSWER: Trade creation and diversion are influenced by the degree of competitiveness that member-nation economies have prior to formation of the customs union, the number and size of its members, and the size of its external tariff against non-members.

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POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Subjective Short Answer
HAS VARIABLES: False
STUDENT ENTRY MODE: Basic
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
United States - BUSPROG1: - Reflective Thinking
STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The European Union
KEYWORDS: BLOOM'S: Understand

140. Explain the theory of optimum currency areas.
ANSWER: Much of the analysis of the benefits and costs of Europe's common currency is based on the theory of an optimum currency area. According to this theory, the gains to be had from sharing a currency across countries' boundaries include more uniform prices; lower transaction costs, greater certainty for investors, and enhanced competition. These gains must be compared against the loss of an independent monetary policy and the option of changing the exchange rate.
POINTS: 1
DIFFICULTY: Challenging
QUESTION TYPE: Essay
HAS VARIABLES: False
STUDENT ENTRY MODE: Basic
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
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STATE STANDARDS: United States - PA - DISC3: - International trade and finance
TOPICS: The Eurozone—Europe’s Monetary Union
KEYWORDS: BLOOM'S: Remember

141. Who were the losers in the United States as a result of the North American Free Trade Agreement?
ANSWER: All labor-intensive, lower-wage, and import-competing businesses lost from reduced tariffs on competing imports. Workers in import-competing businesses lose if their businesses close or relocate. Agricultural producing states saw an influx of cheaper Mexican agricultural products. The Teamsters Union did not want competition from Mexican truck drivers.
POINTS: 1
DIFFICULTY: Moderate
QUESTION TYPE: Essay
HAS VARIABLES: False
STUDENT ENTRY MODE: Basic
NATIONAL STANDARDS: United States - BUSPROG: - Analytic
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